



Defer the Tax, *Keep the Gain*

How a deferred sales trust can help you preserve wealth after selling your rental property.

Susie, you've spent decades building financial security—first as a school principal, then as a thoughtful investor. Now that you've sold your rental property, the capital gains bill may feel like a penalty for doing everything right. A deferred sales trust offers a legal, time-tested way to defer that tax, reinvest your proceeds, and keep more for the inheritance you want to leave your children.

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The Situation

After years of managing a rental property in Texas, you recently sold it and now face a significant federal capital gains tax bill. While Texas doesn't impose state income tax on capital gains, the federal government will still claim its share—potentially 15% to 20% on long-term gains, plus the 3.8% net investment income tax if your income exceeds certain thresholds. For someone with \$1.2 million in assets and clear inheritance goals for your two adult children, losing a substantial portion of your sale proceeds to immediate taxation can derail your wealth preservation strategy.

\$1.2M

Total investable assets

58

Your age today

0%

Texas state capital
gains tax

23.8%

Potential federal tax
exposure

Deferral matters because it keeps more of your capital working for you—and ultimately for your children. Instead of writing a check to the IRS this year, a tax-deferral strategy allows you to reinvest the full sale proceeds, compound growth on a larger base, and control the timing of your tax liability. For a retired school principal focused on legacy, that difference can mean tens or even hundreds of thousands of dollars more passing to the next generation.

The Concept

A deferred sales trust (DST) is a legal arrangement that lets you sell your rental property without triggering an immediate federal capital gains tax bill. Instead of paying the IRS at closing, you sell the property to a third-party trust, which then sells it to the buyer. The trust holds the proceeds and pays you over time—through installment payments, lump sums, or reinvestment income—so you recognize gain only as you receive cash. This strategy has been used for decades and is grounded in established installment-sale rules under the Internal Revenue Code.



Third-Party Trust

You sell your property to an independent trust before the buyer closes. The trust then completes the sale and holds the proceeds.



Installment Recognition

Capital gains tax is deferred until you receive payments from the trust, spreading your tax liability over months or years.



Reinvestment Flexibility

The trust can invest sale proceeds in a diversified portfolio, potentially growing your wealth before distributions begin.



Compliance-Tested

DSTs rely on long-standing installment-sale and trust law, offering a time-tested path to defer tax legally and transparently.

Because Texas has no state income tax, you face only federal capital gains exposure on your rental sale. A DST gives you control over when and how you take distributions, letting you manage your federal tax bracket year by year. It also frees you from the tight timelines and like-kind restrictions of a 1031 exchange, so you can diversify into stocks, bonds, or other assets while still deferring tax.

How Capital Gains Deferral Works in a DST

When you sold your rental property, a Deferred Sales Trust would have allowed you to defer the capital gains tax that typically comes due at closing. Instead of selling directly to the buyer, you first sell the property to an independent third-party trust. The trust then immediately sells the asset to the end buyer at the same price. Because you receive an installment note from the trust rather than a lump sum, the IRS treats this as an installment sale under Section 453 of the tax code.

01 You transfer the property to the trust

Before closing, you sell your rental to a newly established, independent trust. The trust becomes the legal owner for a brief moment.

02 The trust sells to the buyer

The trust immediately sells the property to the end buyer at the agreed market price. The trust now holds the cash proceeds from the sale.

03 You receive an installment note

Instead of cash, you receive a promissory note from the trust. This note entitles you to payments over a schedule you help design—monthly, quarterly, or annually.

04 Tax is triggered only as you're paid

Capital gains tax is due only on the portion of each installment payment that represents gain. The rest of your proceeds remain invested and growing tax-deferred inside the trust.

Tradeoffs

Because you recently sold a rental property, you've likely heard of the 1031 exchange—the most common way to defer capital gains on real estate. But a 1031 requires you to reinvest all proceeds into like-kind property within strict timelines, and it doesn't work if you want liquidity or diversification. A deferred sales trust offers more flexibility: you can invest in a diversified portfolio, take installment payments on your schedule, and avoid the pressure to buy replacement real estate you may not want.

STRATEGY	DEFERRED SALES TRUST	1031 EXCHANGE	PAY TAX UPFRONT
Reinvestment requirement	Flexible—stocks, bonds, real estate, or other assets	Must buy like-kind property within 180 days	None
Liquidity & control	Installment payments on your timeline	Locked into new property	Full liquidity immediately
Complexity & cost	Requires third-party trustee, legal setup, ongoing fees	Qualified intermediary required, tight deadlines	Simple—just pay the IRS
Tax deferral period	Indefinite, until installments are received	Indefinite, until replacement property is sold	No deferral

The tradeoff is complexity. A deferred sales trust requires professional coordination among your attorney, CPA, and a qualified trustee. You'll pay trustee fees—typically a percentage of assets under management—and you must ensure the trust is structured correctly before the sale closes. If you value flexibility and

The Numbers

Let's walk through a concrete example using your rental property sale. Assume you sold the property for \$500,000 with an original cost basis of \$200,000, resulting in a \$300,000 long-term capital gain. Because you live in Texas, you owe no state capital gains tax—only federal. At the current federal long-term capital gains rate of 15% for most taxpayers, plus the 3.8% net investment income tax, you're looking at roughly 18.8% in total federal tax, or about \$56,400 due immediately if you take the proceeds outright.

\$300,000

Capital gain on sale

\$56,400

Federal tax if paid upfront

\$443,600

Net proceeds to reinvest

\$500,000

Full sale price

With a Deferred Sales Trust, you defer that \$56,400 tax bill and keep the entire \$500,000 working for you inside the trust. The trustee invests the proceeds according to your risk tolerance and income needs, and you receive installment payments over time—each consisting of a blend of principal, deferred gain, and investment earnings. You pay tax only on the gain portion as it's distributed, spreading the liability across years when your income may be lower or when you can better manage the tax impact.

KEY ADVANTAGE

Deferring tax on \$56,400 means you have an extra \$56,400 compounding in the trust from day one. Over a 10- or 15-year payout, that additional capital can generate meaningful growth and income that would otherwise have gone to the IRS upfront.

Texas-Specific Tax and Estate Planning Implications

Because Texas has no state income tax, you won't owe state capital gains tax on the sale of your rental property. That's a meaningful advantage: you're only deferring federal tax through the DST, not layering on state liability. This simplifies your planning and means every dollar of deferred gain is working for you at the federal level alone.

01 No state tax burden to manage

Texas is one of eight states with no capital gains tax. Your DST defers only federal tax, keeping your state tax picture clean and predictable.

02 Step-up in basis at death

If you hold DST assets until death, your two adult children inherit with a stepped-up basis, potentially eliminating the deferred federal capital gains tax entirely.

03 Flexible estate planning integration

The DST can be coordinated with your will, revocable trust, or other Texas estate planning documents to ensure installment payments or remaining trust assets pass smoothly to your children.

04 Preserve wealth for the next generation

By deferring tax now and investing the proceeds, you grow a larger pool of assets that can fund your retirement income and ultimately benefit your heirs with favorable tax treatment.

Your Next Step

You've worked hard to build wealth through your rental property, and now that you've sold it, the last thing you want is to lose a significant portion to capital gains tax. The good news is that a Deferred Sales Trust may offer you a path to defer those taxes, preserve more of your proceeds, and create a flexible income stream that aligns with your retirement goals. The next step is to sit down with James Whitfield to evaluate whether this strategy fits your specific situation.

During your consultation, James will model the potential tax savings from a DST compared to paying the capital gains tax outright. He'll walk you through how the trust would be structured, what investment options are available within the trust, and how distributions can be timed to support your income needs while minimizing your tax burden. Because a DST is a sophisticated estate planning tool, James will also coordinate with your CPA and estate attorney to ensure the strategy integrates seamlessly with your overall financial and legacy plan.

REQUIRED DISCLOSURE

A Deferred Sales Trust involves complex legal and tax considerations. It is not suitable for everyone. You should consult with qualified legal, tax, and financial advisors before establishing a DST. Past performance is not indicative of future results, and there are risks associated with any investment strategy.

Reach out to James today to schedule your consultation. Together, you'll determine whether a Deferred Sales Trust can help you keep more of what you've earned, reduce your tax liability, and build a stronger financial foundation for the inheritance you want to leave your two children.



Your Next Step

Let's build a tax-smart plan that protects your wealth and honors your legacy.

Schedule Your Consultation

James Whitfield and the team at Whitfield Wealth Advisors are ready to help you evaluate whether a deferred sales trust fits your goals. Together, we'll review your rental sale, model the tax impact, and design a strategy that preserves more for your children.

- Personalized DST analysis for your rental property sale
- Tax projection and inheritance planning review
- Coordination with your CPA and estate attorney
- Ongoing support as your plan evolves

SCHEDULE YOUR CONSULTATION

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